

BEFORE THE FEDERAL MARITIME COMMISSION

CHINA UNITED LINES, LTD,

Complainant,

v.

AMAZON.COM SERVICES LLC,

AMAZON LOGISTICS INC.,

and

BEIJING CENTURY JOYO COURIER SERVICE CO.,
LTD.,

Respondents.

DOCKET NO. 25-04

**OPPOSITION TO COMPLAINANT’S MOTION FOR ORDER INSTRUCTING
AMAZON TO REMOVE ATTORNEYS’ EYES ONLY DESIGNATIONS**

Respondents Amazon.com Services LLC (“Amazon”), Amazon Logistics, Inc., and Beijing Century Joyo Courier Service Co., Ltd. oppose Complainant China United Lines, Ltd.’s (“China United”) Motion for Order Instructing Amazon to Remove “Attorneys’ Eyes Only” Designations (the “Motion”). The Motion challenges Amazon’s “Attorneys’ Eyes Only” (“AEO”) designation of documents containing commercially sensitive contract rates and capacity commitments from third-party ocean carriers—direct competitors of China United. It fails on two fundamental grounds. First, China United cannot explain how competitor rate information is relevant to proving Amazon’s allegedly fraudulent intent in dealing with China United. Second, China United has made no showing that its business personnel need access to this information to litigate this case. In the alternative, there are grounds to deny China United’s motion for failure to meet and confer regarding these issues prior to filing its motion, in violation of the Commission’s Rules of Practice and Procedure.

I. FACTUAL BACKGROUND & PROCEDURAL POSTURE

The facts underlying this action are straightforward and largely undisputed. China United and Amazon entered a service contract that allowed Amazon to terminate for convenience for any reason, and pay China United liquidated damages, including if market rates made the contract unprofitable. Market rates did fall in the aftermath of the COVID supply chain crisis; a fact Commission decisions have noted and that is not subject to legitimate dispute. China United was unwilling to renegotiate the contract to reflect this new reality, so Amazon gave notice of its intent to terminate the contract for convenience. The Contract also provided that China United could not use Amazon’s trade name without Amazon’s prior written consent (the “Publicity Provision”), and that breach of this provision would be deemed material, allowing Amazon to terminate the Contract for cause without paying liquidated damages. After Amazon gave notice of its intent to terminate the Contract for convenience, Amazon discovered that China United had repeatedly breached the Publicity Provision, even though China United had previously sought permission to use Amazon’s name and had been expressly denied, and Amazon terminated the Contract for cause.

China United filed a breach of contract action in federal court on November 23, 2023, seeking payment of the liquidated damages amount,¹ and an arbitration demand along the same lines on September 23, 2024.² Almost a year and a half after first suing, China United filed its complaint here, which it amended to add a claim that has since been dismissed. *See* Compl., Doc. 1; Verified Am. Compl., Doc. 11. Your Honor dismissed four of the five claims, allowing a claim to go forward under Section 41102(a), which provides that a “person may not knowingly and

¹ Complaint, *China United Lines, LTD, v. Amazon.com Services LLC*, No. 1:23CV10313 (S.D.N.Y., Nov. 24, 2023).

² Request for Arbitration, *China United Lines, LTD v. Amazon Services LLC, and Beijing Century Joyo Courier Service Co. Ltd.*, SHIAC (Sept. 24, 2024).

willfully, directly or indirectly, by means of false billing, false classification . . . or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. § 41102(a). This provision has uniformly been construed narrowly by the courts and the Commission to require a showing of fraud or concealment. *June 6 Order* at 11 (quoting *U.S. v. Open Bulk Carriers*, 727 F.2d, 1061, 1064 (11th Cir. 1984) (“It is undisputed that fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means”). Applying this precedent, Your Honor held that this claim could proceed based on the assertion that Amazon “entered into the service contract with the intent of obtaining lower shipping rates and then terminating the contract without paying liquidated damages agreed to if the market shipping rates fell.” *See June 6 Order* at 12.

The Motion’s premise—that China United is entitled to engage in a wide-ranging inquiry into the “integrity and stability of ocean shipping rates” by challenging whether “shippers such as Amazon are allowed to cancel service contracts at their whim,” *see Mot.* at 1, disregards the *June 6 Order* and the scope of the only remaining claim. This disconnect appears to color China United’s discovery posture, including its present assertion that its business personnel should be allowed to see the confidential rate and capacity information of its direct competitors.

In its initial production, Amazon redacted the third-party information at issue as commercially sensitive data contained in memoranda, spreadsheets, and email correspondence exchanged between Amazon’s operational and financial personnel concerning nearly a dozen other ocean carriers that are direct competitors to China United. This information includes detailed, nonpublic contract rates and capacity commitments from these carriers, and emails discussing the negotiation of these rates and volumes. These materials also contain descriptions of confidential contract terms, insights into Amazon’s business strategy and considerations, business negotiations

with other carriers, and details regarding the carriers' pricing, volume capacity strategies, and business plans. *See* Declaration of John Longstreth attached hereto ("Longstreth Decl."), contained throughout Exs. F–H. China United demanded that Amazon remove these redactions. Longstreth Decl., Ex. A at 5-10. While Amazon continued to believe the redactions were proper because of the sensitivity of the information and its lack of relevance, Amazon, in the interest of cooperation and eliminating unnecessary motion practice, provided unredacted information relating to third-parties for which Amazon did not have a formal disclosure obligation on an AEO basis. *See* Ex. C at 6. This designation protected its carrier counterparties' information from China United's business personnel while allowing China United's in-house counsel, which have access to information marked AEO pursuant to the Protective Order, to satisfy for itself that the information had no bearing on its remaining claim, or to identify any specific information that was relevant and that its business personnel might need to see.³ China United nonetheless demanded the AEO designations and all remaining redactions be removed and has not even attempted to identify any such information with any specificity, either in subsequent correspondence between the parties or in its Motion. *See* Longstreth Decl., Ex. E (Emails of Nov. 14–21).

II. ARGUMENT

The Protective Order provides that Amazon can designate "any nonpublic information that [it] deems in good faith would lead to significant harm or injury to the reputation and/or business of the Producing Party[.]"⁴ The Protective Order thus follows the general burden shifting framework adopted by federal courts in which the party seeking protection must show the

³ Confidentiality Stipulation and Proposed Protective Order, Doc. No. 34, at 4 ("Protective Order"). The Protective Order has not yet been entered by order, but was filed as executed by both parties and re-executed by new counsel for China United, and the parties have been operating in accordance with it.

⁴ *Id.*

information is confidential and that broader dissemination of the information than necessary would lead to competitive, reputational or commercial harm. *See Layne Christensen Co. v. Purolite Co.*, 271 F.R.D. 240, 248-49 (D. Kan. 2010) (citing *In re Cooper Tire & Rubber Co.*, 568 F.3d 1180, 1190 (10th Cir. 2009)). Upon that showing “the burden then shifts to the party seeking unrestricted disclosure to establish that such disclosure is *relevant* and *necessary to the action*.” *Id.* at 248–49 (internal citations omitted) (emphasis added). Courts regularly limit the disclosure of competitively sensitive information to only those parts of an organization that are not involved in competitive decision-making. *See, e.g., Brown Bag Software v. Symantec Corp.* 960 F.2d 1465, 1471 (9th Cir. 1992) (upholding protective order limiting disclosure to outside counsel where “Brown Bag’s in-house counsel was thus involved in the kind of ‘competitive decisionmaking’ that counsels against disclosure”). If the party seeking broader disclosure cannot show disclosure of the information is relevant and necessary, the request should be denied. *See Cooper Tire*, 568 F.3d at 1150; *Layne Christensen*, 271 F.R.D. at 248–49. Here, China United cannot satisfy either of these requirements and its Motion should be denied.

A. The AEO Materials Contain Competitively Sensitive, Nonpublic Information Whose Broader Disclosure Would Lead to Competitive Harm.

The AEO Materials are comprised of nonpublic contract rates and capacity commitments Amazon negotiated in confidential service contracts with other ocean carriers. *See Longstreth Decl.* contained throughout Exs. F–H. China United cannot contest this type of information is commercially and competitively sensitive; instead, it makes the self-serving assertion that the AEO Materials are “no longer competitively relevant” because the information is “stale.” *See Mot.* at 5, 7. Amazon disagrees. Unlike cases dealing with dated spot market or tariff rates,⁵ the AEO

⁵ *See, e.g., OJ Commerce, LLV v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co KG, et al.*, FMC Doc. No. 21-11 (ALJ) (Aug. 31, 2022).

Materials in this case include detailed information regarding Amazon’s negotiations with other ocean carriers that directly compete with China United on nonpublic contract rate and capacity commitments within the last three years.⁶ In similar situations, sensitive commercial information concerning costs and pricing has continued to be protected because it can be used to predict future strategies and practices. *See Stanislaus Food Prods. Co. v. USS-POSCO Indus.*, 1:09-CV-00560-LJO, 2012 WL 6160468, at *2, *4 (E.D. Cal. Dec. 11, 2012) (rejecting argument that pricing and cost information was stale when it could still give the plaintiff leverage with current suppliers and harm defendants’ third-party relationships); *In re Adobe Sys, Inc. Sec. Litig.*, 141 F.R.D. 155, 163 (N.D. Cal. 1992) (protecting years-old rate information that could still disadvantage defendants and third parties competitively, and taking into consideration confidentiality obligations to third parties); *see also Zenith Radio Corp. v. Matsushita Elec. Indus. Co.*, 529 F. Supp. 866, 891 (E.D. Pa. 1981) (“in the hands of an able and shrewd competitor, old data could indeed be used for competitive purposes.”).

China United concedes that AEO designations are needed “particularly when a competitor would receive such information,” Mot. at 4, but ignores that it seeks exactly that. It asks this Court to require Amazon to disclose to China United’s business personnel information concerning ocean carriers that *directly compete with China United*, and that would provide China United an unfair competitive advantage over these carriers. Amazon also believes in good faith that it would suffer reputational harm if it turned this information over to China United without the safeguards of an AEO designation. The AEO Materials reveal competitively sensitive, confidential information

⁶ *Glob. Material Techs.*, cited by China United, Mot. at 6, is distinguishable on these grounds because the information there was not as competitively sensitive and was four to six years old when the case was filed. *See Glob. Material Techs., Inc. v. Dazheng Metal Fibre Co.*, 133 F. Supp. 3d 1079, 1085 (N.D. Ill. 2015).

regarding pricing, operations, costs, and capabilities, including concessions on profits by virtually all of the other ocean carriers that compete in the transpacific trades. *See, e.g., Spartanics, Ltd. v. Dynetics Eng’r. Corp.*, 54 F.R.D. 524, 526 (N.D. Ill. 1972) (restricting disclosure of information pertaining to market entry to only plaintiff’s trial counsel); *Layne Christensen*, 271 F.R.D. at 250 (restricting disclosure of materials where plaintiffs failed to show “a specific need for broader access to [AEO] documents, . . . particularly as to pricing information, contracts, sales, marketing and strategic business information, or corporate finances.”).

Disclosure of insights into the operational strengths and weaknesses of these other carriers would allow China United to obtain an unfair competitive advantage in future contract negotiations for services it offers in competition with Amazon’s global logistics business, and with the other ocean carriers it directly competes with. For these reasons, “[a]mple precedent exists for limiting disclosure of highly sensitive, confidential or proprietary information to attorneys and experts, particularly where there is some risk that a party might use the information or disseminate it to others who might employ it to gain a competitive advantage over the producing party.” *Alexander v. F.B.I.*, 186 F.R.D. 54, 58 (D.D.C. 1998). Amazon’s reputation as a reliable business partner would be harmed if it turned over nonpublic rate and capacity information of third-party service providers to business personnel of a direct competitor without a showing of need. *See Stanislaus Food Prods.*, 2012 WL 6160468, at *5 (denying motion for reconsideration and upholding finding of good cause to continue protection of materials because the materials provided “sensitive information concerning the cost inputs of Plaintiff’s supplier and other similar third parties” and failure to protect them could “place strain on the relationships between Defendants and their third party customers”).

B. China United Has Failed to Establish the Relevance or Necessity of Disclosing the AEO Materials.

Upon showing good cause, “the burden then shifts to the party seeking unrestricted disclosure to establish that such disclosure is relevant and necessary to the action.” *Layne Christensen*, 271 F.R.D. at 248–49 (internal citations omitted). China United has not and cannot establish disclosure is relevant and necessary, and its position that “[t]here is no requirement whatsoever for China United to show ‘relevance or need,’” Mot. at 6, is wrong as a matter of law.

The AEO Materials are not relevant to the remaining claim at issue. As set forth above, China United’s remaining claim requires a showing of fraud or concealment, and it has not even attempted to establish how the AEO Materials are relevant to this showing. China United’s view that Amazon’s dealings with third parties are relevant appears to be based on a misunderstanding of the nature of the remaining claim, as its extremely broad description of what is at issue in this case goes well beyond the scope of Section § 41102(a) as it has been interpreted and applied by Your Honor and in consistent judicial precedent.

China United’s argument that “the fact that Amazon produced the documents . . . demonstrates relevance[,]” to rebut Amazon’s AEO designations is specious. Mot. at 6. The AEO Materials include information regarding China United along with other ocean carriers, and were produced on the basis that they were responsive to requests for documents referencing China United. Amazon has consistently asserted that the third party information is not relevant to China United’s remaining claim.

Even if China United could show that the AEO Materials had some relevance to its remaining claim, it still has not shown why China United’s business personnel would need to review them, especially considering that China United’s in-house counsel already has access to them pursuant to the Protective Order. Protective Order at 4. The Motion argues that business

personnel need to see the information because “they desire frequent and detailed updates about this important case.” Mot. at 2. China United does not specify what litigation updates would require business personnel to see third-party rate information. Mot. at 8. China United also asserts that the AEO Materials are needed to assess damages and settlement, *see* Mot. at 8, but offers no explanation as to how this competitively sensitive, nonpublic information affects its calculation of damages or settlement posture. Nor could it; its damages theory is based on rerating cargo to China United’s tariff rates, not on nonpublic contract rates of non-party competitors. Verified Am. Compl., Doc. 11, at 9–22. China United’s assertion that the AEO Materials are necessary for settlement discussions is entirely unsupported and speculative, as is its entirely unexplained reference to a need to “prepare for depositions.” Mot. at 8. *See R.R. Donnelley & Sons Co. v. Quark, Inc.*, No. CIVA 06032, 2007 WL 61885, at *1 (D. Del. 2007) (rejecting similar unsupported claims of need). More is required to overcome Amazon’s AEO designation under the Protective Order. *See, e.g., Brown Bag Software*, 960 F.2d at 1471–72 (rejecting “speculative” assertions that the protective “order unfairly hindered” litigation); *Tomahawk Mfg., Inc. v. Spherical Indus., Inc.*, 344 F.R.D. 468, 475 (D. Nev. 2023) (“conclusory assertions and speculation of litigation disadvantage are not sufficient to outweigh Plaintiffs’ showing of the risk of competitive harm”).

Finally, these speculations would, even if supported, be outweighed by Amazon’s interest in keeping confidential the competitively sensitive information in the AEO Materials. *See Brown Bag Software*, 960 F.2d at 1468; *U.S. ex rel. Purcell v. MWI Corp.*, 209 F.R.D. 21, 28 (D.D.C. 2002) (AEO designation was a “reasonable compromise position” allowing the parties to “litigate [the] case fully” and “not compromise [defendant’s] proprietary interests”). Here, the AEO Materials are commercially sensitive, and China United has made no showing that they are even relevant to its claim, let alone sufficiently central that an AEO designation would impair its ability

to prosecute its case. Any tangential need would not in any event outweigh the harm to Amazon from such disclosure.

C. China United Failed to Properly Meet and Confer on this Issue

In the alternative, China United's Motion should be denied for failure to comply with the obligation to meet and confer under the Commission's Rules. *See* 46 C.F.R. § 502.71 ("before filing a non-dispositive motion... the parties must attempt to discuss the anticipated motion with each other in a good faith effort.").

While Amazon firmly believes that the AEO designations are proper under the Protective Order, it has offered to meet and confer with China United to discuss whether specific AEO designations could be lifted if a need to do so were shown. Longstreth Decl., Ex. E at 2. China United did not do so, but instead filed its Motion seeking a blanket de-designation.

Amazon does not believe the subsequent "correspondence" was a meaningful attempt to meet and confer on the issue. *See* Motion at 9; Decl. of Bryce Cullinane at 1. In the only meet and confer call between the parties on discovery issues, China United's counsel failed to raise the issue. *See* Longstreth Decl., Ex. D at 1. China United's outside and in-house counsel has access to all of the information at issue, and can and should raise the need for de-designation of specific information with specific showing of need, rather than relying on a blanket motion with vague and unsupported assertions of need.

III. CONCLUSION

For the foregoing reasons, the Motion should be denied. If any specific documents are shown as discovery proceeds to be relevant and necessary for China United's business personnel to review, Amazon is fully willing to address those at such time.

Respectfully submitted,

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Counsel for Respondents

CERTIFICATE OF SERVICE

I certify that on this 17th day of December, 2025, the foregoing has been filed with the Secretary for the public docket, with a copy to judges@fmc.gov and served on the following counsel of record, as provided by the Initial Order in this proceeding.

/ s / John Longstreth
John Longstreth

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